

Research Briefing | Germany

Berlin protects the economy with a €1 trillion shield

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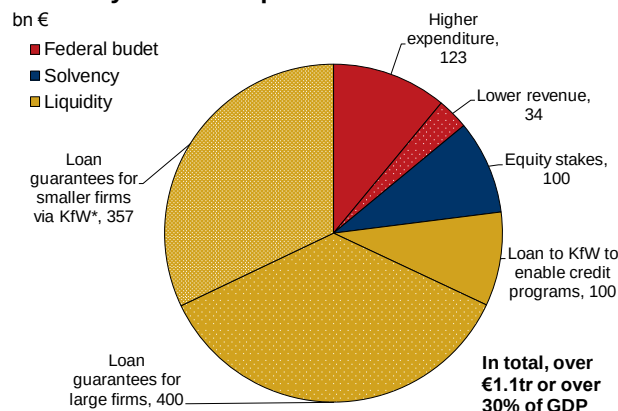
- The German government has massively scaled up and widened the scope of its fiscal response to the coronavirus outbreak over the past week. The package aims to protect the economy with a shield that is sufficient to withstand even a plausible adverse scenario. At over €1tn, or over 30% of GDP, the package is now one of the largest around the world and the largest in the country's history.
- The package is focused on measures to protect firms' liquidity with guarantees on loans by the KfW to smaller firms raised to €822bn from €465bn, which can be boosted to €1.1tn. It has also added €400bn of guarantees for larger firms. This could cover two-thirds of non-financial firms' existing loans.
- Of immediate importance is the widening in the package's scope. A new rescue fund will be able to inject equity of up to €100bn to ensure the solvency of key firms. Also, the supplementary budget, which could widen the fiscal deficit to a new record of 4%-5% of GDP, contains €50bn for direct transfers to sole traders and very small firms. This adds to the existing income support via 'Kurzarbeit'.
- The government has assumed a 5% GDP contraction in 2020. This is a very plausible downside scenario to our new forecast of a 2% drop, and should protect the fiscal package from needing an immediate re-adjustment if the containment measures are prolonged or expanded in the coming weeks.

Berlin gets to the forefront of the global fiscal response

Figure 1: Liquidity support measures dominate Berlin's fiscal response

The past week has seen a flurry of activity in Berlin as the finance and economics ministries put together the largest fiscal package in the history of the Federal Republic. [Press reports](#) on the details of the package are based on a leaked draft budget law that was passed by the cabinet today and will be enacted by the end of the week. This is a much broader response than only a week ago, and means Germany leads the world in terms of the speed and scale of its fiscal response so far.

Germany: Fiscal response to Coronavirus



Source: Oxford Economics/Handelsblatt/FAZ (*can easily be scaled up further)

The fiscal safety net to protect the German economy from the repercussions of the virus outbreak has reached a huge €1.1tn. Efforts to supply ample liquidity to firms to bridge the next few months dominate. But the government also added an element to ensure the solvency of key firms that are hard hit. In addition, a new program for self-employed and micro firms will help them pay for fixed costs, raising the share of income that is being replaced.

Unlimited liquidity to keep economy alive over the coming months

Berlin massively extends scale and scope of its fiscal response

The government's primary aim remains to freeze the economy as best as possible for as long as the virus containment measures last. However, the scale of the fiscal package deemed necessary to achieve this has grown considerably.

Steps to keep firms afloat by safeguarding their access to unlimited amounts of liquidity still dominate the fiscal package. They make up around three quarters of the total (Figure 1). The government continues to promise 'unlimited' state guarantees for liquidity boosting loans from the state-owned KfW bank, which are aimed primarily at small and medium-sized firms. But in a pre-emptive step, Berlin raised the immediately available volume of guarantees to €822bn from €465bn, which can easily be boosted to €1.1tr. If needed, these loans can be further backed up by a 100bn loan from the government to the KfW. These guarantees can now be used to cover 90% of individual loans' credit risk, up from 80%. On top of that, Berlin is adding another €400bn of guarantees for larger firms that could face trouble refinancing bonds and loans in the current environment.

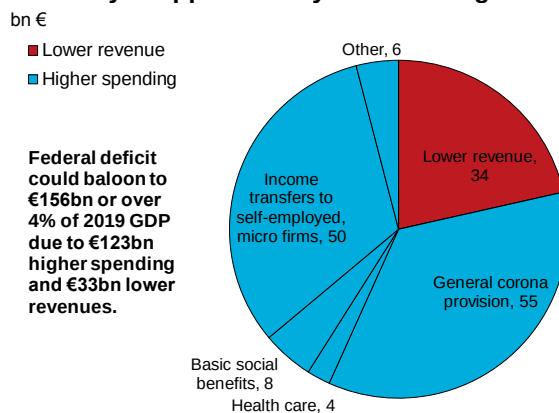
Effectively, this triples the overall size of immediately available state guarantees to about €1.2tn, which would suffice to cover two-thirds of non-financial firms' existing loans. These guarantees massively reduce the risk of a liquidity crunch, although the question remains whether banks will accept the residual risk. They may struggle to extend loans to small firms with limited collateral. Public pressure and the ECB's regulatory easing may help, but depending on the severity of the shock the government may yet be pushed into taking over 100% of the credit risk to ensure an adequate transmission of its policies to the real economy.

Measures to assure solvency and replace income for hard hit firms are welcome additions to liquidity safeguards

The enhancement of the liquidity measures is welcome, but we think that the new solvency and income-supporting measures may be even more effective, in limiting the economic fallout. The government will revive the rescue fund used during the global financial crisis to prop up ailing banks and extend its scope to the whole economy. The fund will be allowed to extend loans worth €100bn to take temporary equity stakes in large firms that are hard hit by containment measures, but whose insolvency would mark a potential large threat to the economic recovery. An often-mentioned potential beneficiary is Lufthansa, which has shuttered up to 90% of its long-distance flights.

Figure 2: Budget deficit could balloon to over 4% of GDP

Germany: Supplementary federal budget



Source: Oxford Economics/Handelsblatt/FAZ

The supplementary budget amounts to €156bn. Lower tax revenues are a big factor at €34bn. On the expenditure side, an income support scheme for self-employed and micro firms (€50bn) and a so far not allocated general coronavirus provision of over €50bn are the main blocks.

The other innovation, that has been added to the package over the past week is an extended income replacement scheme. Previous support had focused on employees, and will granted 60% of their net wage loss from reduced working hours through the

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'Kurzarbeitsgeld'. But now the budget will include an additional €50bn to fund direct transfers of €9,000 to €15,000 to up to 3m self-employed and micro firms, that are affected by the outbreak. This provides necessary and welcome relief to businesses, especially in many of the sectors hardest hit by the lockdown, and could limit the number of business closing due to a temporary revenue shortfall. Arguably, this will only suffice to freeze these firms for a few months, before their solvency is again in question, so this part of the package may have to be scaled up. The unallocated €50bn 'coronavirus provision' within the budget could possibly be used for that.

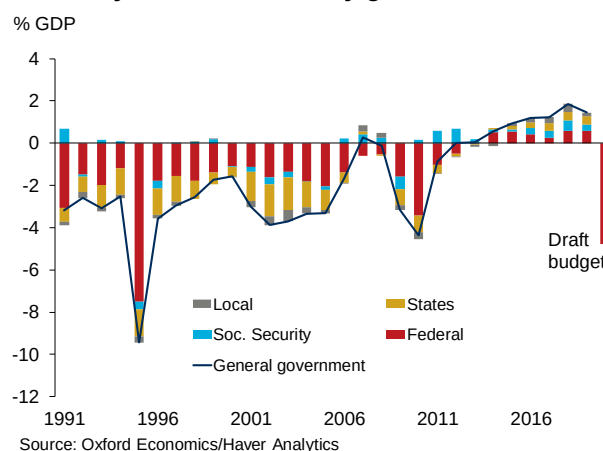
Measures backed by a supplementary budget; deficit over 4% of GDP

To finance this fiscal response, the government will introduce a supplementary budget worth €156bn (Figure 2), raising the federal government's deficit to over 4% of GDP (Figure 3). This would be an extraordinary size, even surpassing the deficit recorded in 2011. Moreover, it is important to remember that the states and municipalities will also face deficits. But it appears that the federal level will try to take much of the crisis costs onto its own books. The fiscal costs of the health care response and the rise in unemployment will be softened by the systems' large reserves, which can be spent before additional fiscal support will be needed. The unemployment system sits on €26bn of reserves that would likely suffice to finance spending, fitting our baseline scenario that includes a 2% GDP drop in 2020. The other parts of the fiscal response do not yet affect the budget, but they could raise government debt levels.

Federal deficit to soar to over 4% of GDP

Figure 3: Planned budget deficit would exceed the great financial crisis precedent

Germany: Fiscal balance by government level



The federal government's fiscal budget could push the federal deficit to over 4% of GDP exceeding even the deficits recorded during the great financial crisis.

Government plans include a 'safety margin', but even this may not be enough

Still, the fiscal response may not be enough

The government reportedly assumed a sharp 5% contraction in GDP in 2020 in designing this package. This is much worse than our forecast of a 2% contraction. While the government has not yet revealed its assumptions, they are likely include a longer lockdown and/or a slower recovery in H2 2020. But there is a high level of uncertainty around these views and as the [ifo institute showed](#), even extending the lockdowns by just a few weeks could have devastating repercussions for the economy. We think the government's inclusion of a "safety margin" in its plans provides some protection against the need to have to constantly readjust them. Finance minister Scholz suggested as much in a TV talk show last night. And this also fits with the federal employment agency's view of a 2% contraction in the baseline and 5% marking a severe downside scenario. But all will depend on how quickly the virus outbreak can be brought under control and how successful lasting containment measures can be combined with a gradual re-opening of the economy.